

**BEFORE THE
FEDERAL MARITIME COMMISSION**

SAMSUNG ELECTRONICS AMERICA, INC.	)	
	)	
	)	
v.	)	Docket No. 23-01
	)	
SM LINE CORPORATION	)	
	)	
Respondent.	)	
	)	

**SEA’S MOTION REQUESTING THE PRESIDING OFFICER ISSUE A SUBPOENA
AFTER THE DISCOVERY CUTOFF**

Complainant Samsung Electronics America, Inc. (“SEA”), submits this Motion Requesting the Presiding Officer Issue a Subpoena After the Discovery Cutoff (“Motion”) to allow SEA to take the testimony of Yoon-Jai (“Mark”) Lee, along with the proposed subpoena (attached as Appendix 1). The Motion is filed as a matter of urgency given the developments before the Seoul Central District Court and the impending deadline for the Initial Decision to be issued.

FACTS

On November 18, 2023, SEA filed an application requesting the Presiding Officer issue a Letter of Request to allow SEA to take the deposition of Yoon-Jai (“Mark”) Lee, former Senior Vice President, SM Line Corporation (“SM Line”), pursuant to the Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters (“Letter of Request”).¹ Dkt. 34. The application for a Letter of Request was made pursuant to Federal Maritime Commission (“FMC” or “Commission”) Rule 142, which provides in relevant part that depositions in a foreign country may be taken pursuant to a letter of request, which may be granted on application of the party

¹ The topics addressed in the proposed subpoena at Appendix 1 is a complete match with the Letter of Request topics.

seeking the deposition without any showing that taking the deposition in another manner is impracticable or inconvenient. 46 C.F.R. § 502.142. The Letter of Request was issued three (3) days later on November 21, 2023. Dkt. 35. SEA undertook considerable efforts to support the Letter of Request, including with the U.S. Department of State Office of Legal Affairs. *See* Declaration of Christopher R. Nolan, dated September 12, 2024 (“Nolan Decl.”), ¶ 6.

On August 14, 2024, SEA received a “Notification of the time and place for the execution of Request” from the Seoul Central District Court, which was taking action in connection with the Letter of Request, by issuing a notice that Mr. Lee’s testimony would be taken on September 10, 2024, at 2:00 PM KST in Court Room No. 370, East Building 157, Seochojungang-ro, Seocho-gu, Seoul, Republic of Korea, Seoul Central District Court (the “Notice”).² Nolan Decl. ¶ 7. A copy of the Notice was submitted to the Presiding Officer, along with SEA’s statement that it was making arrangements in connection with taking Mr. Lee’s testimony on the September 10, 2024, Notice date. Dkt. 110.

SEA, through efforts with counsel in Korea liaising with the Seoul Central District Court, obtained further details beyond what was provided in the Notice. That is, the Seoul Central District Court was unsuccessful in effectuating service of the Notice on Mr. Lee in Korea and that the date was set by the Court without engagement with Mr. Lee or his counsel. Nolan Decl. ¶ 8. With service unsuccessful, the Seoul Central District Court advised that the testimony proceeding on September 10, 2024 would not proceed. In due course, the Seoul Central District Court further advised that if it cannot serve the Notice on Mr. Lee in Korea, it will issue an official “certification of failure to investigate due to service failure.” *Id.* ¶ 10.

² Ex. 1. Notification of the time and place for the execution of the Request. August 14, 2024.

Shortly after being notified that the Seoul Central District Court had set a time and place for Mr. Lee's testimony to be taken, SEA became aware of a SeaLead press release dated August 5, 2024, and reported in the maritime trade press, announcing that Mr. Lee was leaving his employer in Korea, OEC Group (Seoul), and taking on a new role at SeaLead Shipping Pte Ltd. as the company's new Managing Director USA.³ Based on this development, SEA now has reason to believe that Mr. Lee is no longer residing in Korea, but has instead moved in and around the offices of his new employer in California.⁴

SEA sent a letter on September 4, 2024, to Mr. Lee at his new office address in the U.S. to inform him of the Seoul Central District Court's order that he provide testimony in this proceeding.⁵ To date, SEA has not received any response from Mr. Lee to its letter, and understand Mr. Lee did not appear before the Seoul Central District Court pursuant to the Notice and the matter did not proceed. Nolan Decl. ¶ 11.

ARGUMENT

Mr. Lee was identified as a necessary fact witness in this proceeding nearly a year ago. As soon as reasonably practicable, SEA initiated the steps necessary to depose Mr. Lee by filing the application and Letter of Request on November 18, 2023. The critical nature of his role in the creation of SM Line's detention and demurrage ("D&D") policies and procedures became even more apparent as discovery proceeded. SEA was prevented from taking Mr. Lee's deposition

³ Ex. 2. *SeaLead Announces Key Management Transition in USA to Accelerate Business Growth*, August 5, 2024, <https://www.sea-lead.com/key-management-transition-usa/> (last visited Sept. 12, 2024); Seatrade Maritime News, *SeaLead appoints new head for US*, August 5, 2024, <https://www.seatrade-maritime.com/containers/sealead-appoints-new-head-for-us> (last visited Sept. 12, 2024).

⁴ <https://www.sea-lead.com/about/> (Mark Lee listed at the "Regional Management Team" as Managing Director, USA) (last visited Sept. 12, 2024).

⁵ Ex. 3. Letter to Mr. Yoon-Jai ("Mark") Lee dated September 4, 2024.

before the discovery cutoff and close of initial briefing due to external factors completely outside of SEA's control, including the timing of the Seoul Central District Court's Notice and Mr. Lee's subsequent relocation to the United States.

Despite these challenges, SEA has diligently pursued the opportunity to depose Mr. Lee. Upon becoming aware that Mr. Lee was no longer employed at OEC Group (Seoul) but had accepted a role in the United States, SEA sought to confirm Mr. Lee's current location, including by sending a formal letter to Mr. Lee at his office. The Presiding Officer has the discretion to issue the requested subpoena, despite the fact that the discovery cutoff and initial briefing have passed. SEA requests the Presiding Officer exercise that discretion and issue the subpoena, allowing SEA to take Mr. Lee's testimony.⁶

I. Mr. Lee's Testimony is Critical for the Commission to Establish a Complete Record.

Mr. Lee is the former Senior Vice President at SM Line. Mr. Lee held various positions at SM Line between 2018 and 2023, the most notable being his time as Senior Vice President / Chief Executive of Sales/Operations from January 2021 through June 2023, *i.e.* the relevant time period in this proceeding. Mr. Lee's knowledge of SM Line's D&D policies and procedures surpasses any other witnesses deposed and the heavily discussed 2022 D&D Improvement Plan was prepared at his request. Mr. Lee is the only person with knowledge of the true purpose and intent of the 2022 D&D Improvement Plan. He is a critical piece of the puzzle and his testimony would be instrumental to the completeness of the administrative record in this proceeding. An incomplete

⁶ If SEA's Motion is granted, SEA will take immediate steps to serve Mr. Lee with the subpoena. And upon taking Mr. Lee's testimony, SEA will address the suitability of filing a petition to supplement the record pursuant to 46 CFR § 502.216, which provides, "[a] motion to supplement the record, pursuant to § 502.69, should be filed if submission of evidence is desired after the parties' presentation in a proceeding, but before issuance by the presiding officer of an initial decision."

record that is lacking Mr. Lee's testimony not only prejudices SEA, it prejudices the Commission as it considers the issues before it in this proceeding. *See Hudson Shipping (Hong Kong), Ltd. d/b/a Hudson Express Lines — Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376, 1377 (ALJ 2002)(Order Vacating the Prior Order of Preclusion) (“[I]t is not just the policy, but the responsibility of the Commission and, by delegation of authority, the presiding judge, to inquire into and consider all relevant facts ... The Commission would not be fulfilling its responsibility if it were to decide the issues upon an incomplete record. Indeed, of even greater importance than the concept of fairness between the parties, as they maneuver to develop a record which fits neatly within their positions, is the need to ensure that justice is served and all the relevant facts are investigated and considered by the Commission.”).

II. SEA Diligently Pursued Mr. Lee's Testimony, but External Factors Have Prevented the Deposition From Going Forward.

SEA has been diligent in its efforts to take Mr. Lee's testimony as soon as reasonably practicable, but has been prevented from doing so as a result of external factors well outside of its control. Within a month of document production being completed on October 17, 2023, SEA identified Mr. Lee as a critical witness and submitted the application for a Letter of Request. This was months before fact depositions were completed on February 7, 2024. Dkt. 53. Notwithstanding these efforts, the period between the Letter of Request being issued and the Seoul Central District Court issued the Notice took considerable time. SEA had no control over this delay. Once the Notice was issued, the Seoul Central District Court was unable to serve it due to Mr. Lee's apparent relocation to the U.S. SEA again had no control over the delay, nor his relocation to the U.S. SEA should not be penalized for delays outside of its control.

While the FMC has not previously addressed a situation where a proper and timely submitted Hague request was granted after the discovery cutoff and initial briefing in a proceeding,

federal precedent is informative. In considering whether to allow a deposition to go forward, courts consider the diligence of the party seeking the Hague discovery and causes for the delay. See *In re Cathode Ray Tube (CRT) Antitrust Litigation*, No. C-07-5944-SC, 2014 WL 4954634 (N.D. Cal. Oct. 1, 2014). In *Cathode Ray Tube*, the Attorney General of California sought to depose three witnesses, one located in the Netherlands and two located in South Korea. *Id.* at *1. The Attorney General requested and was granted the letters of request prior to the close of discovery. *Id.* The court granted the Attorney General's motion for an extension of the discovery deadline, finding the Attorney General had acted with diligence in seeking the witness's deposition having submitted the initial request for the letter rogatory months prior to the close of discovery. *Id.* at *3-4. The court also found that the circumstances that prevented the deposition from being scheduled prior to the cutoff of discovery were due to external factors outside of the Attorney General's control, namely unexpected difficulties faced by the Dutch government in processing the letter. *Id.* at *3.

Similarly, here SEA diligently sought to take Mr. Lee's testimony, beginning with the initial Letter of Request and continuing through when SEA became aware that Mr. Lee was changing roles and had likely moved to the U.S. The circumstances that prevented SEA from taking the deposition and led to this Motion were external factors outside of SEA's control. Like the court in *Cathode Ray Tube*, the facts here strongly support issuing the subpoena and allowing SEA to take Mr. Lee's deposition.

Creation of a complete record is important not only for the Presiding Officer when rendering the initial decision, but also for any review of this proceeding by the Commission. Mr. Lee was directly involved with significant and material D&D policy matters at issue in this case and proceeding without his testimony would leave a void that could not be filled by any other

witness. It is within the Presiding Officer's discretion to issue the subpoena and allow SEA to take Mr. Lee's testimony – SEA respectfully requests the Presiding Officer exercise that discretion.

III. Meet and Confer Certification.

Counsel for SEA and SM Line discussed the implications of the Notice following SEA's filing of the Notice with the Presiding Officer. Dkt. 110. Following the Seoul Central District Court postponing the September 10 hearing, SEA then advised SM Line of its proposed Motion on September 12, 2024, and requested a meet and confer. Counsel for parties discussed the motion on the afternoon of September 12, 2024; Respondent's counsel stated he was not in a position to agree to the Motion.

CONCLUSION

SEA respectfully requests the Presiding Officer issue the attached subpoena and allow SEA the opportunity to depose Mr. Yoon-Jai ("Mark") Lee.

Dated: September 12, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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